Type MS · Excess demand and excess supply

Answer 1 of 10 · Question 4 part a · 2 marks

2022 JUN · Paper 01 (regional R) · extract 1 of 5 · find part a in this mark scheme extract

4(a)	**AO2 2 marks** Award 1 mark for showing correct calculation (4,200 + 6,000 + 3,250) - 9,600 **(1)** Award 1 mark for correct excess demand = 3,850 tickets **(1)** Award 2 marks if excess demand is correctly calculated as 3,850 tickets even if no calculations are shown Do not award marks for a formula	**(2)**

Question number	Indicative content
4(b)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • In the public sector, the government provides goods and services in the economy • It places dependence on the state for production of goods and services whereas the majority of goods and services in the private sector are provided by private firms • The public sector in Cuba places a high degree of importance on the state controlling production, playing a key role in the provision of key public services such as; education, healthcare, social care and infrastructure • Many jobs are guaranteed by the state as shown by the 75% directly employed by the state • It is easier to provide much needed public goods • It is more able to monitor and control externalities

Type MS · Excess demand and excess supply

Answer 1 of 10 · Question 4 part a · 2 marks

2022 JUN · Paper 01 (regional R) · extract 2 of 5 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Excess demand and excess supply

Answer 1 of 10 · Question 4 part a · 2 marks

2022 JUN · Paper 01 (regional R) · extract 3 of 5 · find part a in this mark scheme extract

Question number	Indicative content
4(c)	**AO2 (4 marks)/AO3 (4 marks)/AO4 (4 marks)** **AO2 and AO3** • Economies of scale are falling average costs (in the long-run) due to expansion • Diseconomies of scale are rising average costs (in the long-run) because a firm grows too large • The combined number of consumers using the messaging apps is over 2.6 billion meaning that the costs are reduced because they are spread over a large number of users • By allowing messages to be sent between Instagram, WhatsApp and Facebook Messenger, less software would be needed • This means that the combined apps would be making better use of essential resources, leading to lower (long-term) average costs (technical economies) • Managerial economies may be present as specialist managers could oversee the whole messaging service, rather than having separate people in charge of each app • (Long-run) average costs could also be reduced as all three apps could be advertised together, therefore spreading the marketing costs and allowing marketing economies to take place • As the group of apps is so large, financial economies are likely because it would be able to get access to money more cheaply than a smaller firm **AO4** • However, some employees are unhappy because Mark Zuckerberg has changed his plans since acquiring Instagram and WhatsApp, meaning they may not work as efficiently and diseconomies of scale may occur • The founders of Instagram and WhatsApp have already left and other employees may do the same if they do not understand the changes. This is likely to increase (long-run) average costs if Facebook needs to recruit new employees • Communication problems and a lack of control may be caused by having such a large firm trying to integrate resources. As the messaging services rely on technology being used effectively, this may lead to diseconomies of scale • As the combined number of users is already more than 2.6 billion, the apps may have already reached the most efficient point and the lowest (long-run) average cost • It will take time for the technology to be successfully implemented and so economies of scale may not occur for several years • If problems occur whilst combining the services, consumers may become frustrated and move to a competitor • It may depend on the outcome of combining the services whether economies or diseconomies of scale occur

Type MS · Excess demand and excess supply

Answer 1 of 10 · Question 4 part a · 2 marks

2022 JUN · Paper 01 (regional R) · extract 4 of 5 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–4	• Demonstrates isolated elements of relevant knowledge and understanding; may lack development of relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Chain of reasoning may be attempted. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness. A judgement or conclusion is unlikely to be attempted (AO4).
Level 2	5–8	• Demonstrates partial selectivity and some accurate knowledge and understanding by developing some relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Chain of reasoning will be present but may be limited. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness. A judgement or conclusion is attempted, but may not be fully supported (AO4).
Level 3	9–12	• Demonstrates specific and accurate knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Chain of reasoning will be coherent and logical. Interpretation of economic information will be excellent with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness. A supported judgement or conclusion is present (AO4).

Type MS · Excess demand and excess supply

Answer 1 of 10 · Question 4 part a · 2 marks

2022 JUN · Paper 01 (regional R) · extract 5 of 5 · find part a in this mark scheme extract

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Type MS · Excess demand and excess supply

Answer 2 of 10 · Question 4 part a · 2 marks

2019 JUN · Paper 01 (regional R) · extract 1 of 5 · find part a in this mark scheme extract

4(a)	**AO2 2 marks** Award 1 mark for showing quantity demanded is 50 and quantity supplied is 20 and 1 mark for correct calculation of excess demand 50 – 20 **(1)** = 30 **(1)** Award 2 marks if excess demand is correctly calculated to be 30, even if no lines are shown on diagram or calculation shown	**(2)**

Type MS · Excess demand and excess supply

Answer 2 of 10 · Question 4 part a · 2 marks

2019 JUN · Paper 01 (regional R) · extract 2 of 5 · find part a in this mark scheme extract

Question number	Indicative content
4(b)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • In the USA, NBC Universal is the only network allowed to televise the Olympic Games until 2032. This makes it a monopoly • As a result NBC Universal has a unique product • This means it is a price-maker and so can set high prices for the advertising on its platforms • By agreeing the rights with the IOC, a legal agreement has been made, creating a barrier to entry for any potential competitors

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Excess demand and excess supply

Answer 2 of 10 · Question 4 part a · 2 marks

2019 JUN · Paper 01 (regional R) · extract 3 of 5 · find part a in this mark scheme extract

Question number	Indicative content
4(c)	**AO2 (4 marks)/AO3 (4 marks)/AO4 (4 marks)** **AO2 and AO3** • A monopoly occurs when one seller dominates the market • Google had a 94.33% market share in South America • Google's dominance could mean they are able to spend their profits on research and developing the search engine • Therefore the firms which advertise on Google can benefit from improvements to it, through innovation • Due to its size, Google may be able to benefit from economies of scale • These lower average costs could be passed on to the firms which advertise through cheaper prices • As the industry is fast moving, Google will need to provide a good service in order to remain so dominant. This may encourage them to maintain quality in the service offered • As a result of Google's dominance, firms advertising can be more confident that their adverts will be seen by more people if they advertise on Google • This could mean they are more likely to recoup their advertising costs through higher customer levels **AO4** • However, due to its dominance, Google could choose to charge high prices to the advertisers because it has a lack of competition • There is a lack of choice for firms advertising on search engines • Although Bing and a small percentage of others provide some choice, it only amounted to 5.67% during the period • Google may feel complacent about their strong position and not develop the service to the satisfaction of the advertisers • Without more competition, Google may not be concerned with rising costs, as they could pass them on • It may depend on whether the competitors such as Bing, and those in other countries outside of South America, can develop a stronger following • It may depend on whether search engines remain so prominent in internet advertising

Type MS · Excess demand and excess supply

Answer 2 of 10 · Question 4 part a · 2 marks

2019 JUN · Paper 01 (regional R) · extract 4 of 5 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–4	• Demonstrates isolated elements of relevant knowledge and understanding; may lack development of relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Chain of reasoning may be attempted. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness. A judgement or conclusion is unlikely to be attempted (AO4).
Level 2	5–8	• Demonstrates partial selectivity and some accurate knowledge and understanding by developing some relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Chain of reasoning will be present but may be limited. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness. A judgement or conclusion is attempted, but may not be fully supported (AO4).
Level 3	9–12	• Demonstrates specific and accurate knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Chain of reasoning will be coherent and logical. Interpretation of economic information will be excellent with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness. A supported judgement or conclusion is present (AO4).

Type MS · Excess demand and excess supply

Answer 2 of 10 · Question 4 part a · 2 marks

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Type MS · Excess demand and excess supply

Answer 3 of 10 · Question 4 part a · 2 marks

2019 JUN · Paper 01 · extract 1 of 5 · find part a in this mark scheme extract

4(a)	**AO2 2 marks** Award 1 mark for showing quantity demanded is 20 and quantity supplied is 50 and 1 mark for correct calculation of excess supply 50 – 20 **(1)** = 30 **(1)** Award 2 marks if excess supply is correctly calculated, even if no lines are shown on diagram or calculation shown	**(2)**

Question number	Indicative content
4(b)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Collusion between firms reduces competition and means firms cooperate with one another instead • Cooperation between firms often means they agree to fix prices and therefore restrict competition • Consumers would therefore pay higher prices for laptops and games consoles • If firms make more profit as a result, it will be harder for new firms to enter the market, making competition in the industry even less likely • Online electrical equipment firms may collude by restricting availability • This means they may only make a limited quantity of electrical items available, encouraging consumers to make more hasty purchasing decisions at higher prices

Type MS · Excess demand and excess supply

Answer 3 of 10 · Question 4 part a · 2 marks

2019 JUN · Paper 01 · extract 2 of 5 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Excess demand and excess supply

Answer 3 of 10 · Question 4 part a · 2 marks

2019 JUN · Paper 01 · extract 3 of 5 · find part a in this mark scheme extract

Question number	Indicative content
4(c)	**AO2 (4 marks)/AO3 (4 marks)/AO4 (4 marks)** **AO2 and AO3** • An oligopolistic market is one where there are a few dominant firms, such as Albert Heijn, Super Unie and Jumbo (which have 83.5% of the market between them) • Due to brand names and advertising, set up costs are likely to be high, therefore creating barriers to entry for any new firms trying to compete • High profits may be enjoyed by the dominant firms such as Albert Heijn, Super Unie and Jumbo because of these barriers to entry • The dominant firms can benefit from economies of scale because they are large scale producers. As output rises, average costs decrease, further increasing profits (and dominance) • Small firms can still compete and survive by specialising and/or catering for niche markets, which are not served by the dominant firms **AO4** • However the supermarkets may have to compete via non price competition such as advertising, loyalty schemes, customer service and longer opening hours as they are likely to want to avoid price wars, which can be expensive • As the providers are interdependent, if one heavily invests in a major advertising campaign, it is likely to have an impact on the others' market share • The market is constantly changing and so dominance may only continue if the firms continue to develop new ways of attracting custom • Successful small firms run the risk of being taking over or crowded out by dominant supermarkets • It may depend upon how market trends change with regards to use of technology and online grocery shopping. • If the supermarkets in the oligopoly cannot keep up, they may lose dominance or be pushed from the market altogether

Type MS · Excess demand and excess supply

Answer 3 of 10 · Question 4 part a · 2 marks

2019 JUN · Paper 01 · extract 4 of 5 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–4	• Demonstrates isolated elements of relevant knowledge and understanding; may lack development of relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Chain of reasoning may be attempted. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness. A judgement or conclusion is unlikely to be attempted (AO4).
Level 2	5–8	• Demonstrates partial selectivity and some accurate knowledge and understanding by developing some relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Chain of reasoning will be present but may be limited. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness. A judgement or conclusion is attempted, but may not be fully supported (AO4).
Level 3	9–12	• Demonstrates specific and accurate knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Chain of reasoning will be coherent and logical. Interpretation of economic information will be excellent with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness. A supported judgement or conclusion is present (AO4).

Type MS · Excess demand and excess supply

Answer 3 of 10 · Question 4 part a · 2 marks

2019 JUN · Paper 01 · extract 5 of 5 · find part a in this mark scheme extract

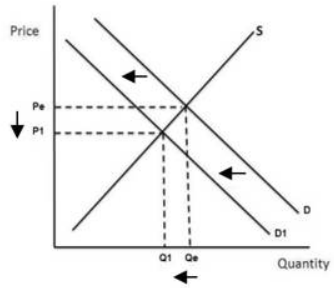
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Type MS · Excess demand and excess supply

Answer 4 of 10 · Question 1 part f · 2 marks

2020 NOV · Paper 01 (regional R) · extract 1 of 5 · find part f in this mark scheme extract

1(a)	**AO1 1 mark** **B** Secondary	**(1)**

Question number	Answer	Mark
1(b)	**AO2 1 mark** **C** 	**(1)**

Question number	Answer	Mark
1(c)	**AO1 2 marks** Award 1 mark for reference to multiplying the price of each unit and 1 mark for reference to the number of units sold The amount of money a firm receives **(1)** from selling its output **(1)** Accept any other appropriate response	**(2)**

Question number	Answer	Mark
1(d)	**AO1 1 mark** Award 1 mark for correct cause Better technology/increased efficiency Accept any other appropriate response	**(1)**

Type MS · Excess demand and excess supply

Answer 4 of 10 · Question 1 part f · 2 marks

2020 NOV · Paper 01 (regional R) · extract 2 of 5 · find part f in this mark scheme extract

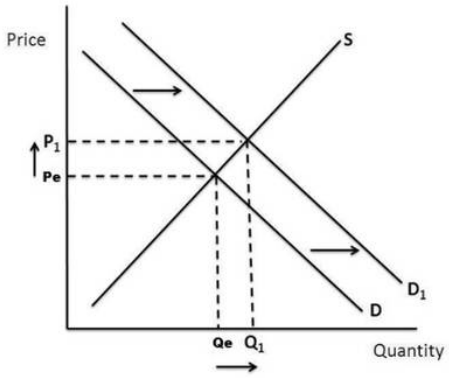
Question number	Answer	Mark
1(e)	**AO1 1 mark** Award 1 mark for a correct definition A benefit to a third party Accept any other appropriate response	**(1)**

Question number	Answer	Mark
1(f)	**AO2 2 marks** Award 1 mark for showing correct calculation 6,000 - (1,200 + 1,450 + 1,625) **(1)** Award 1 mark for correct excess supply = 1,725 tour guides **(1)** Award 2 marks if excess supply is correctly calculated, even if no calculations are shown Do not award marks for the formula	**(2)**

Type MS · Excess demand and excess supply

Answer 4 of 10 · Question 1 part f · 2 marks

2020 NOV · Paper 01 (regional R) · extract 3 of 5 · find part f in this mark scheme extract

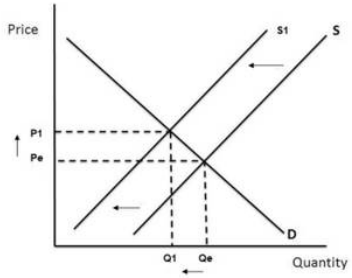
Question number	Answer	Mark
1(g)	**AO2 3 marks** Award 1 mark for rightward shift of demand, labelled Award 1 mark for higher equilibrium price, labelled Award 1 mark for higher equilibrium quantity, labelled  	(3)

Question number	Answer	Mark
1(h)	**AO2 3 marks** Award 1 mark for identifying a relevant advantage Award 1 mark for developing the advantage Award 1 mark for the response being in context • One advantage of the takeover may be improved quality **(1)** because Connect Airways may make higher profits **(1)** so it may be able to finance more comfortable airline seats for its passengers **(1)** • One advantage may be economies of scale from the link with Virgin **(1)** because the new airline can buy fuel in bulk at a lower cost **(1)** passengers may then benefit from decreased prices **(1)** Accept any other appropriate response	(3)

Type MS · Excess demand and excess supply

Answer 4 of 10 · Question 1 part f · 2 marks

2020 NOV · Paper 01 (regional R) · extract 4 of 5 · find part f in this mark scheme extract

Question number	Indicative content
1(i)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • The supply curve shows how much of a good that producers are willing and able to supply at different prices over time • Natural factors such as adverse weather could shift the supply curve inwards/to the left • Possible use of a diagram:  • Adverse weather such as a typhoon can reduce supply because it can make it more difficult (destroying property, equipment washed away) to supply and more expensive (costing one restaurant owner between HK$300 000 and HK$400 000) • If it is more difficult and/or more expensive to supply (the quantity supplied is likely to shift from Qe to Q1 on the diagram) • This will therefore result in an increase in the price (from Pe to P1) if demand stays the same

Type MS · Excess demand and excess supply

Answer 4 of 10 · Question 1 part f · 2 marks

2020 NOV · Paper 01 (regional R) · extract 5 of 5 · find part f in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	**1–2**	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	**3–4**	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	**5–6**	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

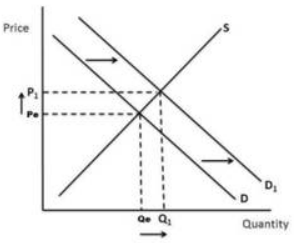
Question number	Answer	Mark

Type MS · Excess demand and excess supply

Answer 5 of 10 · Question 1 part f · 2 marks

2020 NOV · Paper 01 · extract 1 of 4 · find part f in this mark scheme extract

1(a)	**AO1 1 mark** **C** Opportunity cost	**(1)**

Question number	Answer	Mark
1(b)	**AO2 1 mark** **B** 	**(1)**

Question number	Answer	Mark
1(c)	**AO1 2 marks** Award 1 mark for reference to a negative impact and 1 mark for reference to third party A negative effect **(1)** imposed on a third party **(1)** Accept any other appropriate response	**(2)**

Question number	Answer	Mark
1(d)	**AO1 1 mark** Award 1 mark for correct example Education/healthcare/vaccination Accept any other appropriate response	**(1)**

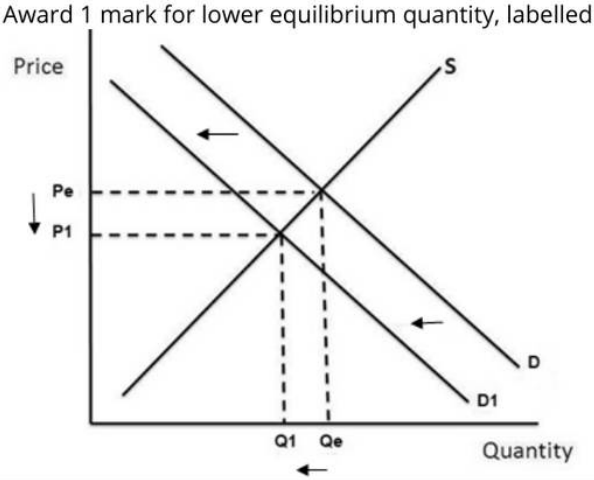
Type MS · Excess demand and excess supply

Answer 5 of 10 · Question 1 part f · 2 marks

2020 NOV · Paper 01 · extract 2 of 4 · find part f in this mark scheme extract

Question number	Answer	Mark
1(e)	**AO1 1 mark** Award 1 mark for a correct definition The desire for goods and services Accept any other appropriate response	**(1)**

Question number	Answer	Mark
1(f)	**AO2 2 marks** Award 1 mark for showing correct calculation (3,600 + 3,200 + 3,100) - 9,000 **(1)** Award 1 mark for correct excess demand = 900 **(1)** Award 2 marks if excess demand is correctly calculated, even if no calculations are shown Do not award marks for a formula	**(2)**

Question number	Answer	Mark
1(g)	**AO2 3 marks** Award 1 mark for leftward shift of demand, labelled Award 1 mark for lower equilibrium price, labelled Award 1 mark for lower equilibrium quantity, labelled  	**(3)**

Type MS · Excess demand and excess supply

Answer 5 of 10 · Question 1 part f · 2 marks

2020 NOV · Paper 01 · extract 3 of 4 · find part f in this mark scheme extract

Question number	Answer	Mark
1(h)	**AO2 3 marks** Award 1 mark for identifying a barrier to entry Award 1 mark for developing the response Award 1 mark for the response being in context • One barrier to entry is economies of scale **(1)** because established larger firms such as Sony and Warner may have lower average costs **(1)** whereas new smaller firms may struggle to keep average costs down **(1)** Accept any other appropriate response.	**(3)**

Question number	Indicative content
1(i)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • The four factors of production are land, labour, capital and enterprise • Beans are harvested from coffee plants which means that land is needed to produce coffee • The coffee beans are picked by hand because labour is needed to determine when the fruit is ready to harvest • The process of sorting the beans and transforming them from their natural state to consumable beans, ground or instant products is done by machinery, which is capital. This maybe because is it more productive/cost effective than using labour. • Enterprise combines the other factors of production to make sure the bean gets to the consumer as a consumable product • Thus, all four factors of production may be used to produce coffee as without any one of them the process would not be completed as efficiently

Type MS · Excess demand and excess supply

Answer 5 of 10 · Question 1 part f · 2 marks

2020 NOV · Paper 01 · extract 4 of 4 · find part f in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	**1–2**	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	**3–4**	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	**5–6**	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Question number	Answer	Mark

Type MS · Excess demand and excess supply

Answer 6 of 10 · Question 4 part a · 2 marks

2022 JUN · Paper 01 · extract 1 of 5 · find part a in this mark scheme extract

4(a)	**AO2 2 marks** Award 1 mark for showing correct calculation 408 - (98 + 114 + 107) **(1)** Award 1 mark for correct excess supply = 89 seats **(1)** Award 2 marks if excess supply is correctly calculated as 89 seats even if no calculations are shown Do not award marks for a formula	**(2)**

Question number	Indicative content
4(b)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • The free rider problem is when a person enjoys the benefit of a good without paying for it • Street lighting is an example of a public good and it is provided by the government • It is non-excludable, meaning no one can be excluded from its consumption if they had not paid, there would be no reason for private individuals to pay for the street lighting • Consumption of street lighting by one person will not reduce the amount available for others; it has non-rivalry • Therefore, public goods, such as street lighting lead to the free rider problem because they would not be paid for by private individuals and as a result are paid by the government

Type MS · Excess demand and excess supply

Answer 6 of 10 · Question 4 part a · 2 marks

2022 JUN · Paper 01 · extract 2 of 5 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Excess demand and excess supply

Answer 6 of 10 · Question 4 part a · 2 marks

2022 JUN · Paper 01 · extract 3 of 5 · find part a in this mark scheme extract

Question number	Indicative content
4(c)	**AO2 (4 marks)/AO3 (4 marks)/AO4 (4 marks)** **AO2 and AO3** • A monopoly is a market structure with one dominant seller in the market • KCOM is the only telecoms provider serving Kingston upon Hull, making it a monopoly • As it has no competition, broadband consumers have no choice but to use KCOM's service • This means KCOM can be a price maker for its broadband packages. It is expensive and costs more than anywhere else in England • There is restricted choice in the market, such as areas where fibre optic packages are not available and there are low download limits. This is because there is only one supplier • It may be that KCOM does not have any incentive to spend money on product innovation and some areas do not have access to fibre optics where the broadband is much faster • KCOM may be inefficient because it does not need to keep its costs low in order to compete with other firms **AO4** • However, due to its dominance of the telecoms market in Kingston upon Hull, KCOM may be able to take advantage of economies of scale • This means that the firm may have low (long-run) average costs as a result of purchasing or technical economies of scale • Therefore it is possible that KCOM could decide to pass the lower costs on to the consumer in the form of lower prices • KCOM may also be more efficient because it is not duplicating resources used by competitors • This may have helped KCOM to provide fast fibre optic broadband speeds in some areas of up to 250Mb • KCOM may also be able to innovate due to its lower (long-run) average costs, meaning it may be able to provide high quality television packages when it makes them available • It may depend on the objectives of the monopoly owners whether the firm passes any of its benefits on to the consumer

Type MS · Excess demand and excess supply

Answer 6 of 10 · Question 4 part a · 2 marks

2022 JUN · Paper 01 · extract 4 of 5 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–4	• Demonstrates isolated elements of relevant knowledge and understanding; may lack development of relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Chain of reasoning may be attempted. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness. A judgement or conclusion is unlikely to be attempted (AO4).
Level 2	5–8	• Demonstrates partial selectivity and some accurate knowledge and understanding by developing some relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Chain of reasoning will be present but may be limited. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness. A judgement or conclusion is attempted, but may not be fully supported (AO4).
Level 3	9–12	• Demonstrates specific and accurate knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Chain of reasoning will be coherent and logical. Interpretation of economic information will be excellent with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness. A supported judgement or conclusion is present (AO4).

Type MS · Excess demand and excess supply

Answer 6 of 10 · Question 4 part a · 2 marks

2022 JUN · Paper 01 · extract 5 of 5 · find part a in this mark scheme extract

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Type MS · Excess demand and excess supply

Answer 7 of 10 · Question 4 part a · 2 marks

2023 JUN · Paper 01 (regional R) · extract 1 of 4 · find part a in this mark scheme extract

4(a)	**AO2 2 marks** Award 1 mark for showing correct calculation 261 - (58 + 64 + 79) **(1)** Award 1 mark for correct excess supply = 60 **(1)** Award 2 marks if excess supply is correctly calculated as 60 even if no calculations are shown Do not award marks for a formula	**(2)**

Question number	With reference to the data above and your knowledge of economics, analyse the benefits of this type of market structure for airline passengers. **Indicative content**
4(b)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • An oligopoly is a market dominated by a few large firms • Airline passengers will have a choice over which airline they fly with because the firms in the oligopoly will be competing with one another to gain market share over their competitors • This means airlines such as Emirates may launch new routes or offer flights to different locations in order to attract more customers • Customers may also be offered lower prices and better quality of service • This is as a result of possible price wars between the airlines and/or non-price competition where the passenger's enjoyment of the flight is the focus of the airline when trying to increase custom

Type MS · Excess demand and excess supply

Answer 7 of 10 · Question 4 part a · 2 marks

2023 JUN · Paper 01 (regional R) · extract 2 of 4 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Excess demand and excess supply

Answer 7 of 10 · Question 4 part a · 2 marks

2023 JUN · Paper 01 (regional R) · extract 3 of 4 · find part a in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, evaluate the extent to which derived demand affects the demand for labour. **Indicative content**
(c)	**AO2 (4 marks)/AO3 (4 marks)/AO4 (4 marks)** **AO2 and AO3** • The quantity of workers whom producers are willing and able to employ is known as the demand for labour • It can be affected by demand for the product (derived demand), productivity and availability of substitutes, such as machines • The greater the demand for a good or service, the greater the demand for labour is likely to be • This means that more security staff are likely to be demanded to control spectators at sporting events or at music festivals because there is a greater demand from fans to watch the event • As there is a greater demand for food from those celebrating special holidays, more supermarket staff are likely to be demanded to sell goods to these customers at certain times of the year • Similarly, if there is less demand for a service, such as at a football stadium when no matches are being played, there will be less demand for labour, such as security staff • As a result, the demand for labour is affected considerably by derived demand **AO4** • However, even with an increase in demand for some goods and services, machinery may be substituted to meet the additional demand • This means that the demand for labour would not always increase due to derived demand • It is also possible that employees may be more productive under certain circumstances, meaning they can meet additional demand for goods and services without there being an actual increase in the demand for labour • At the same time, high levels of productivity may mean the firm requires fewer workers as costs can be reduced. This would again have a significant effect on the demand for labour • The advancement of technology has seen labour being replaced by machines in many industries, such as hospitality and customer services, as well as manufacturing • Although, the demand for labour is likely to increasingly be affected by the availability of substitutes. E.g. the availability of substitutes would be limited for security at music festivals and sporting events • The significance of derived demand may depend on the industry, as some work may be conducted by machines instead • It may also depend on the extent to which labour is needed to develop, build and maintain machines that have been used as substitutes for labour because this could reduce the effect this factor has on the demand for labour

Type MS · Excess demand and excess supply

Answer 7 of 10 · Question 4 part a · 2 marks

2023 JUN · Paper 01 (regional R) · extract 4 of 4 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–4	• Demonstrates isolated elements of relevant knowledge and understanding; may lack development of relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Chain of reasoning may be attempted. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness. A judgement or conclusion is unlikely to be attempted (AO4).
Level 2	5–8	• Demonstrates partial selectivity and some accurate knowledge and understanding by developing some relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Chain of reasoning will be present but may be limited. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness. A judgement or conclusion is attempted, but may not be fully supported (AO4).
Level 3	9–12	• Demonstrates specific and accurate knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Chain of reasoning will be coherent and logical. Interpretation of economic information will be excellent with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness. A supported judgement or conclusion is present (AO4).

Type MS · Excess demand and excess supply

Answer 8 of 10 · Question 4 part a · 2 marks

2023 JUN · Paper 01 · extract 1 of 4 · find part a in this mark scheme extract

4(a)	**AO2 2 marks** Award 1 mark for showing correct calculation (22,200 + 21,000 + 20,250) - 60,000 **(1)** Award 1 mark for correct excess demand 3,450 **(1)** Award 2 marks if excess demand is correctly calculated as 3,450 even if no calculations are shown Do not award marks for a formula	**(2)**

Question number	With reference to the data above and your knowledge of economics, analyse why the free rider problem has led to the Zambian Government providing the defence force. **Indicative content**
4(b)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • The free rider problem is when a person enjoys the benefit of a good without paying for it • The Zambian defence force is an example of a public good as it is provided by the government in Zambia • It is non-excludable, meaning no one can be excluded from benefitting from the defence even if they have not paid for its provision • Having the defence force increases the standard of living for citizens of Zambia but if left to the private sector to provide, individuals would not pay for it • One person benefitting from country's defence will not reduce the amount available for others; it has non-rivalry • Therefore, the free rider problem leads to the need for the provision of defence by the Zambian Government

Type MS · Excess demand and excess supply

Answer 8 of 10 · Question 4 part a · 2 marks

2023 JUN · Paper 01 · extract 2 of 4 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Excess demand and excess supply

Answer 8 of 10 · Question 4 part a · 2 marks

2023 JUN · Paper 01 · extract 3 of 4 · find part a in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, evaluate the effectiveness of government regulations in dealing with externalities such as air pollution in Greater Manchester. **Indicative content**
4(c)	**AO2 (4 marks)/AO3 (4 marks)/AO4 (4 marks)** **AO2 and AO3** • Government regulation is put in place to reduce the external costs of production and consumption • Drivers of polluting vehicles are less likely to drive in the region, or will need to replace their vehicles when faced with a daily charge of between £7.50 and £60.00 • This is likely to reduce pollution and the negative impact on the environment, therefore reducing negative externalities • The scheme would also raise money for the government, meaning more funding could be available for schemes to benefit the environment • The 800km^2 covered by the CAZ is a very large area, meaning the 1,000+ annual deaths will hopefully be reduced as a result of the scheme • More awareness of the problems caused by vehicle emissions could be gained through adoption of the scheme, leading to better prevention of pollution in the future **AO4** • However, as the proposal will affect many small businesses in the area, their costs will increase considerably • This means that these firms may not be able to afford the tax, such as the ice-cream firm expects costs to rise by £29 000 a year, or to replace its vehicles and may need to pass the charges on to customers • Therefore, some firms may lose business if their customers are unwilling/unable to pay the higher prices • This could lead to firms needing to close down, potentially causing prices to rise for customers in the area anyway, if there is limited competition • It may depend on the value placed on clean air by firms driving the vehicles and by customers, as to whether higher prices will be paid • It may also depend on the profits/income of firms/customers, as to the impact of the charges and therefore whether negative externalities will actually be reduced • There may be better ways to reduce air pollution, such as encouraging people to walk short distances rather than drive

Type MS · Excess demand and excess supply

Answer 8 of 10 · Question 4 part a · 2 marks

2023 JUN · Paper 01 · extract 4 of 4 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–4	• Demonstrates isolated elements of relevant knowledge and understanding; may lack development of relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Chain of reasoning may be attempted. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness. A judgement or conclusion is unlikely to be attempted (AO4).
Level 2	5–8	• Demonstrates partial selectivity and some accurate knowledge and understanding by developing some relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Chain of reasoning will be present but may be limited. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness. A judgement or conclusion is attempted, but may not be fully supported (AO4).
Level 3	9–12	• Demonstrates specific and accurate knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Chain of reasoning will be coherent and logical. Interpretation of economic information will be excellent with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness. A supported judgement or conclusion is present (AO4).

Type MS · Excess demand and excess supply

Answer 9 of 10 · Question 4 part a · 2 marks

2024 NOV · Paper 01 · extract 1 of 6 · find part a in this mark scheme extract

4(a)	**AO2 2 marks** Award 1 mark for showing correct calculation (13,600 + 14,200 + 11,700) - 33,000 **(1)** **OR** 39,500 - 33,000 **(1)** Award 1 mark for correct excess demand = 6,500 **(1)** Award 2 marks if excess demand is correctly calculated as 6,500 even if no calculations are shown Do not award marks for the formula	**(2)**

Type MS · Excess demand and excess supply

Answer 9 of 10 · Question 4 part a · 2 marks

2024 NOV · Paper 01 · extract 2 of 6 · find part a in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, analyse a possible reason why the market for tourism services is an inefficient allocation of resources. **Indicative content**
4(b)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Inefficiency occurs when market failure is/externalities are present • One example of market failure is a lack of information for the consumer • The market for tourism shows visitors to Saint Vincent do not have all the information about prices when booking online before visiting the island • As a result, tourists can pay up to $14 more for a guide than if they waited to obtain all the information once arriving on the island • Therefore, an inefficient allocation of resources occurs in the market

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Excess demand and excess supply

Answer 9 of 10 · Question 4 part a · 2 marks

2024 NOV · Paper 01 · extract 3 of 6 · find part a in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, evaluate whether X is likely to benefit from economies of scale. **Indicative content**
4(c)	**AO2 (4 marks)/AO3 (4 marks)/AO4 (4 marks)** **AO2 and AO3** • The number of users of the newly named X increased to a new high of 530 million people within the first year • This means that the (long-run) average costs are likely to be reduced because they are spread over a larger number of users • By creating a platform that enables users to perform multiple tasks, such as messaging, making payments and having food delivered, fewer resources would be needed, leading to lower (long-term) average costs (technical economies) • The cost of developing the advanced technology may be lower for X, as a substantial amount of research/components are likely to be required, possibly leading to purchasing economies • Due to the increase in size, managerial economies may be present as specialist managers could oversee separate functions of X, bringing in specialist expertise and lowering (long-run) average costs • (Long-run) average costs could also be reduced as all tasks could be advertised together, therefore spreading the marketing costs and allowing marketing economies to take place • The takeover cost of $44bn suggests the platform is extremely large, therefore, financial economies are likely because it should be able to get access to money more cheaply than a smaller firm, including to purchase/develop the advanced technology **AO4** • If a firm grows too large, average costs are likely to rise due to diseconomies of scale • The loss of around 65% advertising revenue may reduce X's ability to create the platform envisaged by Elon Musk • Thousands of workers lost their jobs as a result of the purchase by Elon Musk, meaning a decrease in efficiency of remaining workers may be likely if they are worried about losing their jobs too • This means diseconomies of scale may occur as the average costs may increase due to less productive workers • The renaming of the platform from Twitter to X, alongside other major changes may cause further issues for X, such as workers being demotivated • Communication problems and a lack of control may be caused by having such a large firm trying to integrate resources. As the platform relies on technology being used effectively, this may lead to diseconomies of scale

Type MS · Excess demand and excess supply

Answer 9 of 10 · Question 4 part a · 2 marks

2024 NOV · Paper 01 · extract 4 of 6 · find part a in this mark scheme extract

	• As the combined number of users is already more than 530 million, the platform may have already reached the most efficient point and the lowest (long-run) average cost • It will take time for the technology to be successfully implemented and so economies of scale may not occur for several years • If users do not agree/like the changes they may move to a competitor • Workers may actually be more productive due to the high number of job losses, as they want to prove worthy of keeping employment. This could help to lower average costs • It may take time to understand the implications of the changes for X and whether economies or diseconomies of scale occur will therefore depend on the outcome

Type MS · Excess demand and excess supply

Answer 9 of 10 · Question 4 part a · 2 marks

2024 NOV · Paper 01 · extract 5 of 6 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–4	• Demonstrates isolated elements of relevant knowledge and understanding; may lack development of relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Chain of reasoning may be attempted. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness. A judgement or conclusion is unlikely to be attempted (AO4).
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Level 3	9–12	• Demonstrates specific and accurate knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Chain of reasoning will be coherent and logical. Interpretation of economic information will be excellent with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness. A supported judgement or conclusion is present (AO4).

Type MS · Excess demand and excess supply

Answer 9 of 10 · Question 4 part a · 2 marks

2024 NOV · Paper 01 · extract 6 of 6 · find part a in this mark scheme extract

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Type MS · Excess demand and excess supply

Answer 10 of 10 · Question 1 part f · 2 marks

2025 NOV · Paper 01 · extract 1 of 5 · find part f in this mark scheme extract

1(a)	**AO1 1 mark** The only correct answer is: **C** Secondary A is not correct because this is not a sector of the economy in which production occurs B is not correct because this would involve the extraction of raw materials D is not correct because this involves the use of services	**(1)**

Question number	Wood is an example of which **one** of the following factors of production? **Answer**	**Mark**
1(b)	**AO2 1 mark** The only correct answer is: **D** Land A is not correct because this would be man-made B is not correct because this would be the combining of factors C is not correct because this would include workers	**(1)**

Question number	What is meant by the term total costs? **Answer**	**Mark**
1(c)	**AO1 2 marks** Award up to 2 marks for a correct definition (Total) fixed costs plus **(1)** (total) variable costs **(1)** Accept any other appropriate response	**(2)**

Type MS · Excess demand and excess supply

Answer 10 of 10 · Question 1 part f · 2 marks

2025 NOV · Paper 01 · extract 2 of 5 · find part f in this mark scheme extract

Question number	State the formula for social benefits. **Answer**	Mark
1(d)	**AO1 1 mark** Award 1 mark for correct formula Private benefits + external benefits Accept any other appropriate response	**(1)**

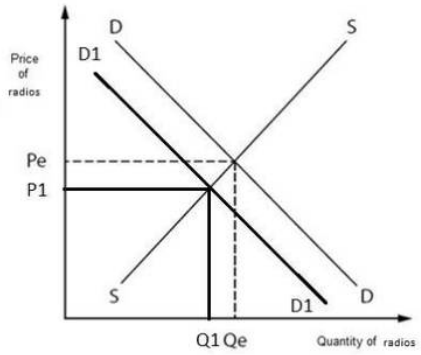
Question number	Define the term substitute good. **Answer**	Mark
1(e)	**AO1 1 mark** Award 1 mark for a correct definition Goods bought as a suitable alternative to another good Accept any other appropriate response	**(1)**

Question number	Calculate the **excess demand** in March for the sunglasses. You are advised to show your working. **Answer**	Mark
1(f)	**AO2 2 marks** Award 1 mark for showing correct calculation 1,350 - (639 + 715 + 516) **(1)** **OR** 1,350 - 1,870 **(1)** Award 1 mark for calculating correct excess demand = 520 (pairs of sunglasses) **(1)** Award 2 marks if excess demand in March is correctly calculated as 520 even if no calculations are shown Do not award marks for the formula	**(2)**

Type MS · Excess demand and excess supply

Answer 10 of 10 · Question 1 part f · 2 marks

2025 NOV · Paper 01 · extract 3 of 5 · find part f in this mark scheme extract

Question number	Using the diagram below, draw the likely effect on the market for radios following a fall in their popularity. Label the new curve, the new equilibrium price and the new equilibrium quantity. **Answer**	Mark
1(g)	**AO2 3 marks** Award 1 mark for a leftward shift of the demand curve, labelled Award 1 mark for a lower equilibrium price, labelled Award 1 mark for a lower equilibrium quantity, labelled  	(3)

Question number	Explain **one** reason why consumers may benefit as a result of mergers in the pharmaceutical industry. **Answer**	Mark
1(h)	**AO2 3 marks** Award 1 mark for identifying a relevant reason Award 1 mark for developing the reason Award 1 mark for the response being in context • Economies of scale may occur as a result of a merger **(1)** because the new and larger pharmaceutical firms may be able to buy ingredients in bulk at a lower cost **(1)** meaning consumers may benefit from lower prices being passed on by the firms **(1)** Accept any other appropriate response	(3)

Type MS · Excess demand and excess supply

Answer 10 of 10 · Question 1 part f · 2 marks

2025 NOV · Paper 01 · extract 4 of 5 · find part f in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, analyse the possible disadvantages faced by consumers from collusion between firms that provide accommodation for rent. **Indicative content**
1(i)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • The anti-competitive practice of collusion means firms are able to act like a monopoly • This means it is more difficult for new firms to enter the market and reduces choice for consumers/tenants • Collusion to fix prices could lead to firms receiving higher profits at the expense of the tenant, who may have to pay more in rent • Therefore, this could make it more difficult for tenants to find cheaper accommodation or to have a choice of the firm they rent from • As many tenants are struggling to afford the rent they pay and over 1 million properties are affected, the impact on consumers is likely to be considerable

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Excess demand and excess supply

Answer 10 of 10 · Question 1 part f · 2 marks

2025 NOV · Paper 01 · extract 5 of 5 · find part f in this mark scheme extract

Question number	Which **one** of the following is the correct label to replace 'X'? **Answer**	Mark